Middle East stasis set to keep Fed on hold at Chair Powell's swan song

Next Wednesday, the Federal Reserve is widely expected to leave monetary policy unchanged in an environment where the economy continues to grow, albeit with intensifying headwinds, and transportation fuel costs are pushing inflation higher

Fed Chair Jerome Powell's term is set to end on 15 May

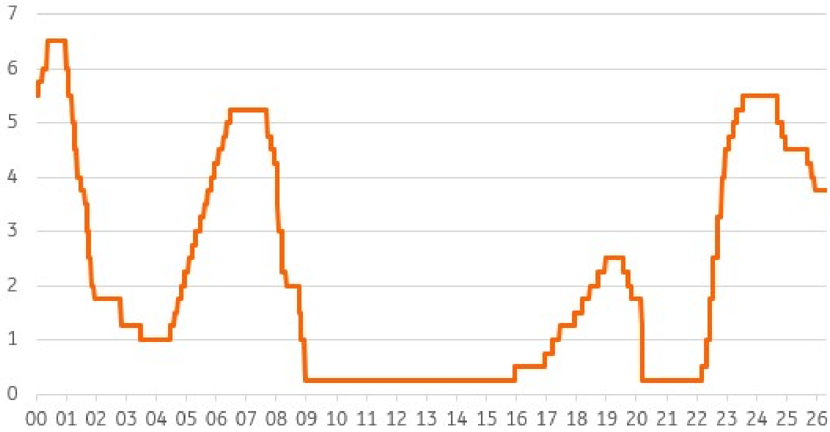
Rate cuts remain more likely than hikes

Absolutely nothing is priced in terms of Fed funds futures contracts for the 29 April Federal Reserve policy decision, but the market still leans in the direction of eventual rate cuts with around 10bp of easing priced by the end of the year. The Fed itself continues to have one 25bp rate cut within its March economic projections for 2026, while the consensus amongst economists remains a little more aggressive, predicting two 25bp cuts in the latter part of the year. We also continue to forecast two rate cuts this year, one in September and one in December.

The main interest will be Jerome Powell's press conference which, in theory, will be his last given his term as Chair ends on 15 May. As such, there will be questions over how he sees his legacy and his relationship with President Trump and whether he will choose to stay on at the Fed given his term as a Governor doesn't end until January 2028. However, it may not actually be his last as Fed Chair. Until Republican Thom Tillis is satisfied that the Department of Justice's "vindictive prosecution" of Jerome Powell, tied to the renovation of the Fed's headquarters, has been brought to an end, the confirmation of Kevin Warsh as his successor will remain blocked at the Senate Banking Committee stage. Powell has already said he will stay on as chair "pro tempore", which would only intensify tensions between the Fed and the President.

In terms of the outlook for monetary policy, we are unlikely to get anything particularly revelatory. The minutes from the last decision suggested that the "vast majority" of the FOMC membership saw employment risks as skewed to the downside, while progress on inflation was likely to be slower because of the economic headwinds being generated by developments in the Middle East. This is likely to remain the way the committee assesses the situation with little prospect of any immediate change in policy signalled.

Fed funds ceiling (%)



Source: Macrobond

Inflation likely to be transitory with the jobs markets still stalled

In terms of inflation, it has been five years since either headline or core consumer price inflation were at or below the 2% target, and higher fuel and airline fares mean CPI looks set to break back above 4% imminently. The Federal Reserve can't do anything to ease the current energy supply shock though. Instead, its focus is to ensure that inflation expectations remain contained and, for now, that seems to be the case. Hence the mildly hawkish rhetoric coming from officials.

Importantly, the current supply shock, focused on fuel prices, is not as broad as the pandemic-related supply chain stresses in 2020/21, and we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

Real household disposable incomes are already flatlining, so we see higher fuel prices as being demand destructive via reduced spending power. This is set to weigh on core inflation, and we also need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further. Moreover, if Middle East tensions ease and oil prices drop back to below where they are today, there is a high probability of sub-2% year-on-year inflation being achieved in 2027.

In terms of jobs, there are only 260,000 more people in work today than 12 months ago, implying that the jobs market has effectively stalled during a period when the US growth story was robust. Our concern is that with the Middle East tensions showing little sign of coming to an imminent conclusion, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now. In fact, with cost pressures rising and consumer spending power being squeezed, corporate profitability will face more challenges and runs the risk that employers will look to cost containment measures. This threatens weaker payrolls numbers in the coming months.

The Federal Reserve has to optimise monetary policy for two very different goals – inflation and jobs. It still views the current stance of monetary policy as being modestly restrictive. With a new, more dovish Fed Chair taking office and key elections this year, which will keep up the political pressure for action, we look for September and December Fed cuts.

The balance sheet and prognosis for Treasuries

Since the T-bills buying programme (re)commenced in mid-December, holdings of bills have risen to over USD$425bn (from USD$195bn). That has expanded the Fed's overall "securities" holdings (including bills) by some USD$185bn. The Fed did this to help boost bank reserves, which had fallen to below USD$3tn, coinciding with repo tightness, and in consequence saw the effective funds rate rise right up to just 1bp short of the rate paid on reserves. Since then, repo pressure has eased, and this week, the New York Fed announced a reduction in monthly T-bills buying from USD$40bn to USD$25bn. This is a purely operational move, completely within its authority and as agreed at a prior FOMC meeting. Still, Chair Powell could get some questions on this, or indeed he could comment on it up front. It certainly suggests a degree of comfort on the part of the Fed over liquidity conditions.

There is also a link here with the incoming chair, Kevin Warsh. He has an ambition to reduce the Fed's holdings of bonds, and in particular, Mortgage Backed Securities. Currently, the Fed holds just under USD$2tn of these, and continues to roll them off as they mature. It's a slow process though, running at some USD$10-15bn per month. Chair Powell could get quizzed on this, too. Any acceleration in roll-off, e.g. outright selling, would place upward pressure on longer-term Treasury yields, as any selling would likely occur in longer tenors. There is no stated plan here. It's all supposition at this stage. But it's very market relevant. The odds are that Chair Powell swats away questions on this, as his FOMC has a steady-as-she goes policy, and he won't comment on what Kevin Warsh might do. But still, worth asking the question(s). Beyond that, the bulk of the Treasury-relevant issues will centre on inflation expectations as seen through the Powell prism.

Potentially some upside risks for the dollar

Even though the Fed story is far less of a driver for the dollar than events in the Middle East, the FX market will still take note of the FOMC statement and Chair Powell's press conference. Part of the market's enduring demand for risk assets this year has rested on the expectation that the Fed will help out with rate cuts (and a weaker dollar).

Depending on how tough Chair Powell sounds on monitoring the inflation threat, and of course, depending on where energy prices are at the time, we see some potential upside risks to the dollar from this FOMC. Should Chair Powell echo any of the recent comments by Christopher Waller that the longer energy prices stay high, the greater chance of unchanged policy, then some bearish flattening of the yield curve could give the dollar a lift across the board.

If that is the case, EUR/USD could be heading down towards the 1.15 area consistent with the 'Prolonged Disruption' scenario presented in our recent update. Depending on how hawkish the Bank of Japan has been at its meeting the day before the FOMC, USD/JPY could be embarking on a sustained push above 160. One week realised USD/JPY volatility has recently dipped to 5%, which is exceptionally low for this pair. Given the unstable global backdrop, April's two-yen range in USD/JPY looks too narrow and at this stage, the upside looks the path of least resistance.

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THINK Ahead: Central bankers' balancing problems

Central bankers face an unenviable task next week. Nobody knows where the crisis in the Middle East is going next. Nor is the data telling them how to act. Markets are bracing for rate hikes, yet the case for action is far from clear-cut. James Smith weighs up the dilemma as the team builds us up to next week's Fed, ECB and Bank of England meetings

Trying to find the right balance is tough for central bankers such as Christine Lagarde

A day in the life of a central banker

Imagine for a moment you're a central bank boss here in Europe. Not a great role play right now, if I'm honest, given, well... *gestures at everything going on in the world right now*

You have the unenviable task not only of setting policy next week, but also of coming up with a coherent message about what you might do in June.

Let's start with the bad news: having kept all your options open in March and intimated you'd have a better grip of the situation by April, the truth is quite the opposite.

The better news is that nobody else has a clue where the crisis is headed, either. Another week of contradictory headlines and stalemate in the Strait of Hormuz has made the situation, if anything, harder to forecast. Polymarket, to the extent that it is a reliable gauge of anything, is pricing a 28% chance of a permanent peace deal by the end of May, down from 74% a week ago.

Better still, markets aren't expecting a rate hike this month, anyway. Not from the Fed, ECB or Bank of England. An "on hold" decision looks like a no-brainer.

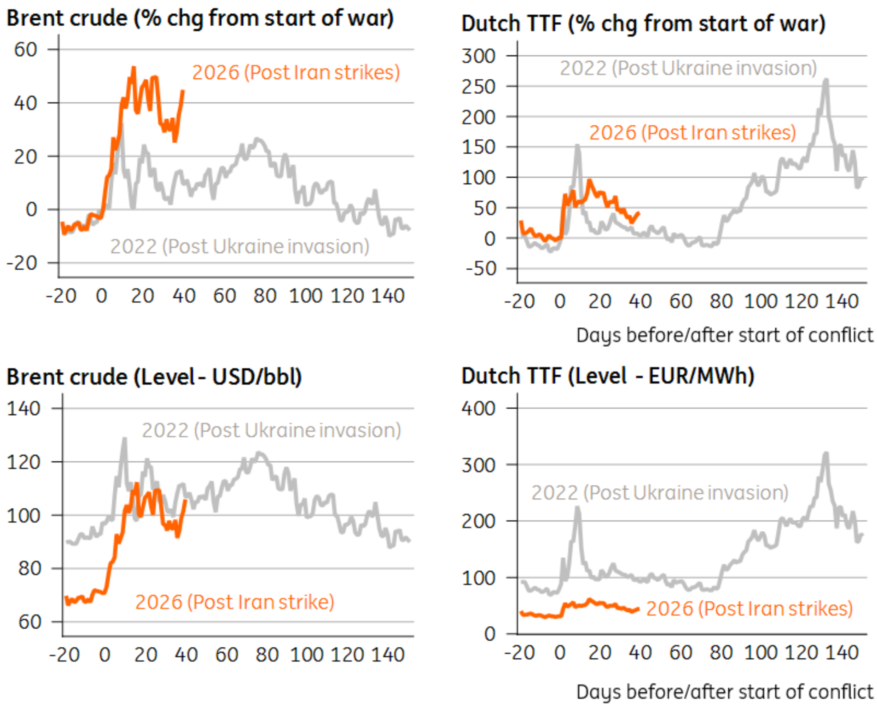
Time is on your side, but perhaps not for long. Markets are pricing upwards of two rate hikes for the eurozone and UK by year-end. A June rate rise is near-enough fully priced.

Your central challenge is that the data isn't proving to be much of a guide right now. Inflation is up, but so far only because of motor fuel. We'll get new numbers out of Europe over the coming days, but they're unlikely to tell us much about the knock-on impact on core or food inflation. That's going to take time; it's not clear you'll be much the wiser by June, even.

Surveys aren't proving to be much more help either. Consumer inflation expectations are up (especially in the UK). But confidence is down. And while surveys of corporates – including this week's purchasing manager's indices – are unsurprisingly showing higher input costs, there's only limited evidence that this is translating into a rise in output prices.

The one thing you can at least point to is natural gas prices. The problem in 2022 was that it became both an oil and an electricity crisis, the latter being a particular issue for core inflation. So far, this has proven to be only the former. Natural gas prices are much more contained than post the Ukraine invasion, in level terms if not in percentage changes. That's a powerful argument in favour of keeping rates on hold for now.

How the energy crisis compares to 2022



Source: Macrobond, ING

So here's your conundrum: Ideally you don't want to hike interest rates at all. It's fairly established wisdom now that the economic backdrop to this crisis is very different to the 2022 energy shock. And the more rate hikes markets price in, the tighter financial conditions become, and the more economic growth is going to take a hit.

Equally, having some limited tightening priced in is not entirely unhelpful, even if you can't say that bit out loud. Rate hike expectations are keeping market measures of inflation expectations in check. The eurozone five-year inflation swap, priced five years forward – a gauge of longer-term inflation expectations – sits at 2.14%. That's barely higher than it was before the war began.

The thing is, though, at some point, investors might start to think you're all bark and no bite. The longer you don't hike rates, the more likely it is that those inflation expectations start creeping up. Having been accused of being too slow to react four years ago, the last thing you want is to go down in the history books for making the same mistake twice. Fed Governor Christopher Waller's speech last week entitled "one transitory shock after another" spoke to that anxiety.

And after all, what's one or two rate hikes going to do, anyway? Then you remember that the ECB tried doing exactly this in both 2008 and 2011, only to be forced into awkward U-turns within months.

There are no good options right now - other than to keep everything on the table. The situation is delicate, one that requires you to keep the threat of hikes alive, without opening the floodgates for markets to price in yet more tightening. And if you're lucky, you might not end up having to deliver much, if anything, at all.

Is anyone even listening right now, though? Just look at poor old Andrew Bailey at the Bank of England. He told investors in no uncertain terms at the start of the month that he didn't think it needed to hike rates. And markets completely ignored him. Our Rates Strategy team have been arguing that interest rate expectations are being influenced by oil prices and not much else right now.

As my colleague Francesco put it in his scenarios for next week's ECB meeting, you - the central bank - would have to come out with a real surprise to trigger an enduring market move. And that's a brave call to make at a time of such extreme geopolitical uncertainty.

Alright, that's quite enough time in a central banker costume for one day... Jump back into the real world and read on for exactly what our team are expecting from the major central banks next week.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Rate Decision** (Wed): The Federal Reserve will leave monetary policy unchanged next week in what is scheduled to be Jerome Powell's last meeting as Fed Chair. The minutes to the last decision suggested that the "vast majority" of the FOMC membership saw employment risks as skewed to the downside, while progress on inflation was likely to be slower due to economic headwinds from developments in the Middle East. This is likely to remain the way the committee assesses the situation, with little prospect of any immediate change in

policy signalled.
- **GDP** (Wed): In terms of the data, 1Q GDP growth will be the highlight after the disappointing 0.5% annualised expansion in the fourth quarter of 2025. That was held back by the government shutdown that lasted throughout October, and we should see a corresponding rebound in government spending at the start of this year. Tech-related investment is expected to continue growing very strongly, net trade shouldn't be too much of a headwind while residential investment will continue to be a drag. Unfortunately, the consumer spending story is likely to be more subdued with bad weather at the start of the year holding back activity. We expect GDP growth of 2.7% annualised.
- Other numbers to watch include the 1Q employment cost index, which is the broadest measure of labour costs. Slowing wage growth is the main factor which should ease Federal Reserve concerns about second-round price effects due to higher motor fuel costs. Nonetheless, their favoured measure of inflation – the core PCE deflator is likely to temporarily pick up to 3.2% from 3%, confirming little prospect of any imminent Fed policy rate change.

Eurozone (Bert Colijn)

- **Rate decision** (Thu): It is a big week ahead for the eurozone with the ECB rate decision and a lot of relevant data releases all packed into the Thursday. GDP for 1Q, inflation for April and unemployment for March will all come out just hours before the ECB announces its decision on rates. We expect them to remain on hold. That's been hinted at by several Governing Council members lately, who have stressed the lack of new information and the absence of urgency to act. In that sense, April will mainly serve as a reality check for rate expectations, with markets currently pricing around 50bp of tightening by year end. Read our full preview
- **Inflation** (Thu): The headline rate is set to increase further on the back of high energy prices, with eyes mainly on any preliminary impact on core inflation. We don't expect much movement as of yet, but that doesn't mean that the second round effect will not emerge, of course.
- **1Q GDP** (Thu) : This will mainly show how the eurozone performed before the energy crisis, as only the month of March saw rising energy prices. Initial data have been sluggish, so after relatively strong GDP growth in 2025 despite all the uncertainty, 1Q could come in more modest.

United Kingdom (James Smith)

- **Rate decision** (Thu): We expect an 8-1 decision from the Bank of England to keep rates on hold. Governor Bailey said at the start of April that markets were getting ahead of themselves on rate hikes. But with uncertainty still elevated and the committee likely to become more visibly divided once again, we doubt the Bank will want to double down on this push back against market pricing next week. Read our full preview

Canada (James Knightley)

- **Rate Decision** (Wed): The Bank of Canada looks set to leave the policy rate unchanged at 2.25%. They have lowered it from 5% in 2024 and, with core inflation broadly in line with the target and the unemployment rate seemingly stabilised, another on-hold decision looks certain. Markets are pricing one 25bp rate hike by the end of the year, but we are in the camp that looks for the BoC to leave its monetary policy stance unchanged throughout 2026.

THINK Ahead in EMEA

Poland (Adam Antoniak)

- **Flash CPI** (Thu): The government's fiscal package includes cuts in excise duty on petroleum and diesel, lower VAT (down to 8% from 23%), and a daily cap price set by the minister of energy, halting further increases in fuel prices vs March. Still, annual growth in fuel prices is projected to be higher than in the previous month due to a low reference base. Elsewhere, inflationary pressure is well contained. Hence, we expect only a small uptick in headline inflation to 3.1% YoY, if any, from 3.0% YoY in March. Core inflation excluding food and energy prices most likely remained at 2.7%YoY this month.

Czech Republic (David Havrlant)

- **GDP** (Thu): The Czech economy likely entered the year in a mode of continued expansion in both annual and quarterly terms, yet at a somewhat slower pace than at the end of the previous year. The 1Q26 economic activity was affected by the onset of the turmoil in the Middle East, which sent energy prices on a steep upward path and propelled uncertainty. Still, the main negative impact will likely be tangible in the GDP readings that will follow.

Uzbekistan (Dmitry Dolgin)

- **Rate Decision** (Wed): We expect the central bank (CBRU) to keep the policy rate unchanged at 14.00% at the upcoming meeting on 29 April, in line with the previous decision and guidance, as the domestic CPI and FX trends remained largely stable, the growth trend remained strong, while the external inflationary risks increased for the region. High real rate of c.7%, based on CPI over the past 12 months, remains one of the support factors for Uzbekistan’s competitiveness on the global capital markets.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 27 April		
Germany	0800	May GfK Consumer Sentiment	-29	-28
		Tuesday 28 April		
US	1400	Feb Case-Shiller 20 (MoM%/YoY%)	0.2/1.3	0.2/1.2
	1500	Apr Consumer Confidence	88.0	91.8
Spain	0800	Mar Retail Sales (YoY%)	-	2.2
		Wednesday 29 April		
US	1330	Mar Durable Goods	1.2	-1.3
	1900	Fed Funds Target Rate (Upper Bound)	3.75	3.75
Eurozone	0900	Mar Money - M3 Annual Growth	-	3
	1000	Apr Business Climate	-	-0.27
	1000	Apr Economic Sentiment	-	96.6
Germany	1300	Apr CPI (MoM%/YoY%)	1.0/3.2	1.1/2.7
Italy	0900	Apr Consumer Confidence	91.5	92.6
Spain	0800	Apr CPI Flash NSA (YoY%)	-	3.4
	0800	Apr CPI Flash NSA (MoM%)	-	1.2
Canada	1445	BoC Rate Decision	-	2.25
Sweden	0700	Q1 GDP (QoQ%/YoY%)	-/-	0.5/2.1
		Thursday 30 April		
US	1330	1Q GDP growth (QoQ% annualised)	2.7	0.5
	1330	1Q Employment Cost Index (QoQ%)	0.8	0.7
	1330	Mar Personal Income (MoM%)	0.4	-0.1
	1330	Mar Personal Consumption Real (MoM%)	0.3	0.1
	1330	Mar Consumption, Adjusted (MoM%)	0.9	0.5
	1330	Mar Core PCE Price Index (MoM%/YoY%)	0.3/3.2	0.4/3.0
	1330	W 1 Initial Jobless Claims (000s)	220	214
	1445	Apr Chicago PMI	51	52.8
Eurozone	1000	Apr CPI Flash (MoM%/YoY%)	3.5	1.3/2.6
	1000	Apr Core CPI Flash (YoY%)	2.4	2.3
	1000	Q1 GDP Flash Prelim (QoQ%/YoY%)	0.1	0.2/1.2
	1000	Mar Unemployment Rate	6.2	6.2
	1315	Apr ECB Refinancing Rate	2.15	2.15
	1315	Apr ECB Deposit Rate	2.0	2.00
Germany	0700	Mar Retail Sales Real (MoM%/YoY%)	0.3/0.5	-0.6/0.7
	0855	Apr Unemployment Rate SA	6.3	6.3
	0900	Q1 GDP Flash SA (QoQ%/YoY%)	-0.2/-0.2	0.3/0.6
France	0630	Q1 GDP Preliminary (QoQ%/YoY%)	-/-	0.2/1.2
	0745	Apr CPI Prelim (MoM%/YoY%)	-	1/1.7
UK	1200	Apr BoE Bank Rate	3.75	3.75
Italy	0900	Q1 GDP Prelim (QoQ%/YoY%)	0.1/0.6	0.3/0.8
	0930	Mar Unemployment Rate	5.3	5.3
	1000	Apr CPI Prelim (MoM%/YoY%)	1.0/2.2	1.7/1.6
Canada	1330	Feb GDP (MoM%)	-	0.1
letherlands	0830	Q1 GDP Prelim SA (QoQ%/YoY%)	-/-	0.5/1.8
Portugal	1100	Apr CPI Flash (YoY%)	-	2.7
		Friday 1 May		
US	1500	Apr ISM Manufacturing PMI	52.0	52.7
	1500	Apr ISM Manufacturing Prices Paid	85.0	78.3
UK	0930	Apr S&P Global/CIPS Manufacturing PMI Final	-	51

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Tuesday 28 April		
Hungary	1300	Apr Hungary Base Rate	6.25	6.25
		Wednesday 29 April		
Russia	1700	Mar Retail Sales (YoY%)	0.0	0.3
	1700	Mar Unemployment Rate	2.1	2.1
Uzbekistan	0900	Apr Rate Decision	14.00	14.00
		Thursday 30 April		
Turkey	0800	Mar Trade Balance	-	-9.03
	1200	Mar Bank NPL Ratio	-	2.59
Czech Rep	0800	Q1 Preliminary GDP (QoQ%/YoY%)	0.5/2.5	0.7/2.7
Hungary	0830	Q1 GDP Prelim (YoY%)	-	0.8
	0830	Mar Trade Balance Final (EUR bn)	-	665
Ukraine	0000	Central bank interest rate	-	15.00
Poland	0830	Apr Flash CPI (MoM%/YoY%)	1.1/3.0	0.5/3.1
		Friday 1 May		
Hungary	0800	Apr Manufacturing PMI	-	50.4

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German economy back in crisis mode as Ifo index drops to pandemic levels

A plunging Ifo index underlines the growing concerns among German companies about the adverse economic impact of the war in the Middle East

Germany's most prominent leading indicator fell to 84.4 in April from 86.3 in March, the lowest level since the pandemic

To quote Andreas Brehme, the all-too-early-departed scorer of Germany's winning goal in the 1990 World Cup final: "if you've got s*** on your boot, you've got s*** on your boot." A quote that applies to many situations in life, and certainly to the German economy right now.

At the end of 2025, the economy finally seemed to be escaping its endless stagnation, with growth returning in the fourth quarter, rising industrial orders, and the expectation of billions in defence and infrastructure investment. An upturn was within sight until, that is, the war in the Middle East started. The just-released Ifo index, Germany's most prominent leading indicator, took another plunge in April, to 84.4, from 86.3 in March, the lowest level since the pandemic.

War in the Middle East, the energy price shock and possible supply chain frictions weigh on German economy

The war in the Middle East and soaring energy prices have again exposed the fact that Germany is one of Europe's largest net importers of energy. Some 6% of its oil imports stem from countries in the Middle East. The so-called energy-intensive industries in Germany account for some 17% of industrial gross value added and employ just under one million people. With the war in the Middle East now gradually shifting from a pure energy price shock towards an energy supply and broader supply chain shock, the German economy is once again at the centre of an exogenous, global, disruption.

Admittedly, large corporates are likely still hedged against soaring oil prices, but SMEs are not, nor is there a hedge against deficits of physical oil. There is already anecdotal evidence of surging tarmac prices and coming supply frictions. As in 2022, this first inflation wave – from higher energy prices to knock-on effects on transportation and food, as well as products that need oil – is already in full swing. It is not only hitting consumers but also companies that, due to contractual obligations, are unable to immediately pass on higher costs. Also, remember that in 2022, several energy-intensive companies reduced or halted production as high energy prices made production uneconomical. Meanwhile, gas reserves are currently at their lowest level at this time of the year in five years, which could bring a cost-push for corporates and households next winter.

All of this said, even if sentiment is suffering enormous setbacks right now and fears of another year of stagnation have returned, it should be clear that the planned investments in defence and infrastructure are still on track and should support the economy this year and beyond. The fiscal impulse is real, it just needs time to reach the real economy.

German government has to master two challenges at the same time

Talking about fiscal policy, the new energy price crisis has again laid bare cracks in the German government coalition and the difficulty in mastering two challenges at the same time: providing short-term relief from high energy prices and pressing ahead with longer-term structural reforms. Over the last few weeks, the policy debate in Berlin has heated up again. This has centred not only on the government's decision to temporarily cut fuel taxes and introduce a controversial €1,000 tax free bonus that employers may – but are not required to – pay their employees, but also on the broader question of structural reform.

With the government entering its second year in office, there have been a wide range of reform proposals but still very few actual decisions. The current focus is on healthcare and pension reform to bring public finances onto a more sustainable footing in light of Germany's demographic change. It seems that not a day goes by without some sort of proposal or idea. Which of these proposals, if any, will eventually be implemented is a completely different story. Some call this diversity of ideas and proposals part of a constructive debate in a healthy democracy, others simply call it chaos.

In any event, the war in the Middle East is a serious obstacle. Yet, it is no reason to bury the structural optimism that marked the start of the year. If the fiscal stimulus on infrastructure and defence is now finally combined with long-overdue reforms to open up fiscal space for further investment, along with targeted corporate tax relief and a clear strategy for affordable and more autonomic energy – in short, a real plan – then the economic upswing will only be delayed, not derailed. The federal government, however, should not take its inspiration from the philosopher Andreas Brehme. One of his other famous lines was that "making the impossible possible will be a thing of impossibility."

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Disclaimer

Bank of England likely to keep rates on hold as markets ramp up hike bets

Financial markets are once again pricing upwards of two Bank of England rate hikes this year. Governor Andrew Bailey won't like that, but with the ongoing crisis in the Middle East, we doubt the Bank will meaningfully push back against market expectations at its 30 April meeting

Bank of England Governor Andrew Bailey speaking earlier this month at the 2026 IMF and World Bank Group meetings

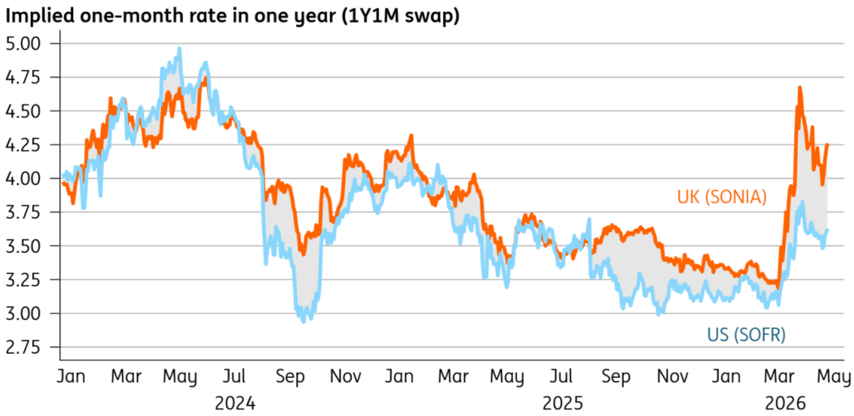
Markets are pricing two rate hikes this year

The Bank of England is poised to keep rates on hold at its April meeting. But will it push back against market expectations of two rate hikes by year-end?

The Bank was evidently caught off guard by the reaction to its March decision, which saw even the most dovish officials appear open-minded about hiking rates. Governor Andrew Bailey told *Reuters* in the days after that investors were "getting ahead of themselves".

We doubt his views have changed since then, but we suspect the Bank will be reluctant to push back too hard on market expectations at Thursday's meeting. For one thing, market pricing is not quite as extreme as it was towards the end of March. That's mostly because oil prices have come lower; the correlation between energy costs and short-dated swap rates has been fairly tight since the crisis began.

UK rate expectations are significantly higher than pre-war



Source: Macrobond, ING

More importantly, though, nobody, least of all the Bank, knows how the crisis will develop between now and June. Energy prices are unpredictable, but the BoE is also acutely aware that the longer the Strait of Hormuz disruption endures, the more likely the unforeseen knock-on effects on supply chains.

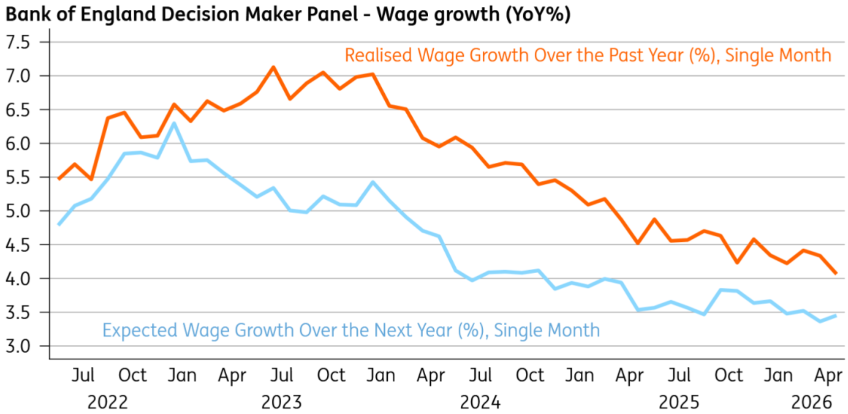
That said, the fact that natural gas prices have stayed remarkably contained – and have even flirted with pre-war levels in recent days – is a significant source of near-term comfort. Natural gas – and the role it plays in setting electricity prices and heating bills – is in many ways a bigger vulnerability for the UK than oil.

The other challenge the Bank has is that the data received since the March meeting hasn't really told it much about how the economy is responding to the war. Inflation is up, but so far only on the predictable rises in motor fuel and heating oil costs. Consumer inflation expectations have also predictably surged.

But measures of corporate price behaviour are more mixed. The PMIs pointed to rising output price pressure. But the Bank's own survey of companies – the Decision Maker Panel – didn't point to an unduly large pick up in inflation expectations. Unsurprisingly, most respondents said the war would lead them to raise prices, but crucially, wage growth expectations – the real driver of longer-term inflation persistence – are unchanged since the crisis began.

In short, it will take time to get a decent sense of whether firms are able to pass on higher energy costs to their consumers. And the Bank will want sight of the April CPI data, which will be released in May. That will give us a sense of how aggressive (or not) price hikes were at the start of the financial year. Given that large swathes of prices in the service sector are only updated once per year, this is fairly consequential for the inflation profile over the next 12 months.

Surveys don't point to a spike in wage growth



Source: Macrobond, ING

Expect an 8-1 decision in favour of "no change"

If the data has told us anything in recent weeks, it is that the economy is in a very different place from 2022 when the last energy crisis broke out. Employment is still falling across the consumer services industries and private sector wage growth has fallen – and crucially is now at a level the Bank told us in February was consistent with achieving the inflation target over the medium-term.

That's why, after last month's surprising show of unity, we expect the old divisions among committee members to come back to the fore. Though the framing has naturally shifted from "cut or hold" to "hold or hike", we'd expect the prior doves to place more emphasis on the differences with 2022 at this meeting than they did at the last.

But we think that's unlikely to extend to formal pushback against rate hike pricing in the policy statement. That's because the hawks are likely to become more vocal, too. We expect at least one official – Chief Economist Huw Pill – to vote for a rate hike. Megan Greene, and less likely, Catherine Mann, might also be tempted to join him. That most likely tees up an 8-1 vote in favour of keeping rates on hold. And at the very least, the hawks will want to keep talking up the possibility of a hike in June in a bid to keep inflation expectations under wraps.

We also doubt we'll get any fresh clues on policy direction from the new forecasts. On current market pricing, we think the Bank will have inflation peaking close to 4% this summer/autumn. But it will likely lean heavily on a scenario approach, given the uncertainty.

Politics is a risk, but we don't expect a rate hike this year

Finally, there's the politics. The Bank's hawkish signals in March were presumably at least in part directed towards lawmakers in Westminster – a warning against any big knee-jerk fiscal intervention in the energy crisis that might necessitate tighter monetary policy. So far, the government has been clear that any support will be targeted – and with natural gas prices where they are, the impetus to do more than that is limited, anyway.

But the risk of a leadership change in Downing Street is growing. Markets are wary that a new prime minister – and, by extension, chancellor – might mean more borrowing and looser fiscal rules.

So in short, we'd expect the Bank to keep its options open next week. Avoid doing anything that could add to rate hike bets in markets, but without trying to actively talk them down, either.

Ultimately, though, we don't think the Bank will hike rates this year – not at the current level of energy prices. We expect rates to stay at 3.75% in April and June, and for the rest of 2026.

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Disclaimer

National Bank of Hungary preview: The chance of a cut this year has vanished

Elections have taken place in Hungary, but there are still many unanswered questions, especially about the effects of geopolitics. The uncertainty surrounding Hungary is preventing any alteration to the base rate, and we don't expect this to change for the rest of the year

Mihaly Varga, Governor of the National Bank of Hungary

Our call

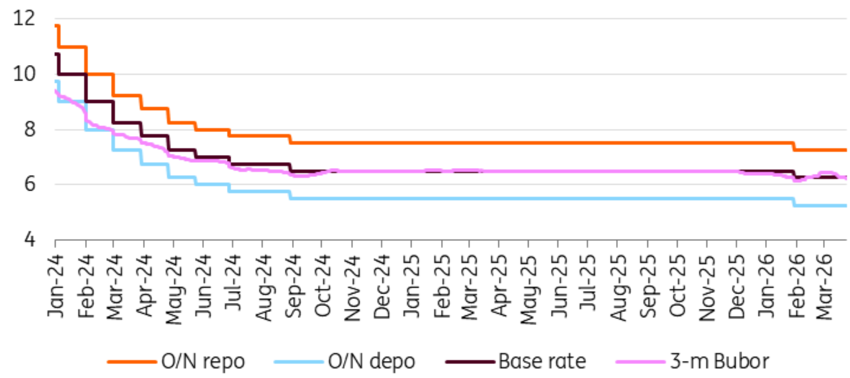
As noted a month ago, the war in the Middle East pushed the National Bank of Hungary towards a more hawkish stance. Since then, geopolitical pressures have remained firmly in place. This is consistent with the removal of the final sentence of the March forward guidance, the "meeting-to-meeting" remark regarding the decision-making process.

The factors of uncertainty surrounding Hungary's stability have not diminished either. Parliamentary elections have taken place, resulting in a change of government. While the worst-case scenario from a stability perspective — a hung parliament — was avoided, many questions remain about the economic and fiscal outlook for the coming period. Despite market movements that could give the NBH greater scope for manoeuvre, we believe the central bank will adopt a wait-and-see approach at next Tuesday's meeting.

The continuing high level of uncertainty surrounding the war in the Middle East suggests that the NBH will keep interest rates unchanged at 6.25%. While it is true that the economy is better placed to absorb the impact of higher energy prices than in 2022, the persistence of high levels of geopolitical uncertainty certainly limits monetary policy flexibility.

As a starter, a rate cut is definitely out of the question for April, and this is a high-conviction call. We expect the central bank to adopt a hawkish tone in an attempt to influence FX market stability, keeping the EUR/HUF at lower levels. We expect the Bank to demonstrate maximum flexibility in order to convince market players and present an image of strength, calmness, patience and caution.

The main interest rates (%)



Source: NBH, ING

The protracted nature of the Middle East conflict has forced us to make meaningful revisions to our official scenarios, including the baseline. These developments are set to weigh heavily on Hungary as well. Based on the updated baseline scenario for energy markets and major central banks, which is more pessimistic than before, we forecast that Hungarian inflation will continue to accelerate for the remainder of the year. We expect it to average 3.5% in the second quarter, rise above the tolerance band in the second half of the year and average 4.3% in the final quarter. Given that energy prices remain higher than before and due to their impact on Hungary, we currently see no scenario indicating an interest rate cut this year.

However, if the worst-case scenario materialises, inflation would rise significantly, exceeding 6% during the third quarter. The NBH could not ignore this and would be forced to raise interest rates.

Our market views

The forint has strengthened against the euro by around 3.2% since the general election in April and by 5.2% just at the beginning of the month. We saw even bigger gains against the US dollar. The market sees the elections as a restart of relations with the EU, which should bring a number of benefits to the economy. We remain bullish here in general, but it is necessary to take into account the heavy long positioning that has built up in the market in recent weeks. This will undoubtedly slow down further strengthening of the forint, and we will rather see a gradual grind of EUR/HUF down.

On the other hand, the NBH is in no hurry to cut rates, and FX carry remains solid. The risk at the moment could be sudden profit taking if the market sees any disappointment from the new government, but this does not seem like an imminent risk, given that it has not yet been appointed, or a significant escalation of global energy prices, where Hungary still remains the most exposed country in the region. However, overall, we see further gains for the forint in the medium term and think that 350 by mid-year should not be too difficult a target in our forecast.

In the rates space, the market is already pricing in two rate cuts in the one-year horizon, but not in the coming months. However, the central bank will not rush, and we won't see much of a visible dovish shift due to significant FX strengthening. We are still in the middle of an energy shock with an unclear end; short-term pricing may see some pressure next week.

Since the election, market behaviour has repeatedly shown that investors remain broadly bullish on Hungary despite the strong post-election rally. Sell offs are quickly faded, especially at the long end, which some might see as the most attractive. We therefore expect further curve flattening and continued compression of the country premium at the long end.

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Kazakhstan holds rates, indicates room for cuts

Kazakhstan's central bank has kept the base rate at 18.00%, with the headline guidance sounding slightly more open to cuts. But the body of the statement is more nuanced and is still explicit about inflation risks, suggesting the first cut is still more likely to emerge later in the third quarter than 'soon'

The National Bank of Kazakhstan in Astana. The central bank's latest commentary still points to a high bar for easing in the near term

18.00

NBK base rate

unchanged

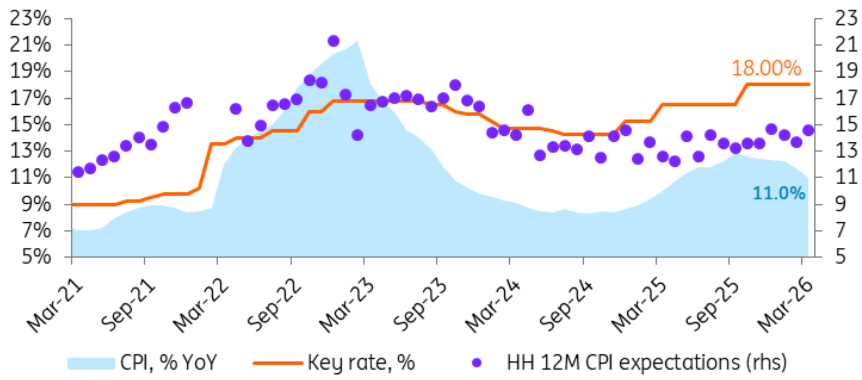
As expected

Kazakhstan keeps rate unchanged, "conditional easing" guidance is back

Kazakhstan's central bank (NBK) left the base rate unchanged at 18.00% today, in line with consensus and our expectations. The most noticeable change versus the previous decision is in forward guidance, with the NBK now stating that "...provided that current trends persist and no new shocks arise, the National Bank will be ready to consider the possibility of reducing the base rate in its subsequent decisions."

This sounds more dovish compared to the March signal: "Under current conditions, the space for monetary policy easing has not yet developed," – and raises the question of whether a cut is likely as early as the next meeting on 5 June. A more nuanced look into the commentary and the context, in our view, shows that the narrative is simply back to the conditional easing throughout the second half of 2026 presented at the beginning of this year.

NBK base rate on hold as disinflation trend requires further confirmation



Source: NBK, CEIC, ING

NBK remains risk-focused despite CPI slowdown

At first glance, the April statement contains several dovish signals to support the new signal:

- Slower CPI to 11.0% year-on-year as of March, despite the recent VAT rate hike
- Deceleration of GDP growth to 3.0% YoY in 1Q26 after a 6.5% increase in FY25
- Softer domestic demand amid more restrained credit growth

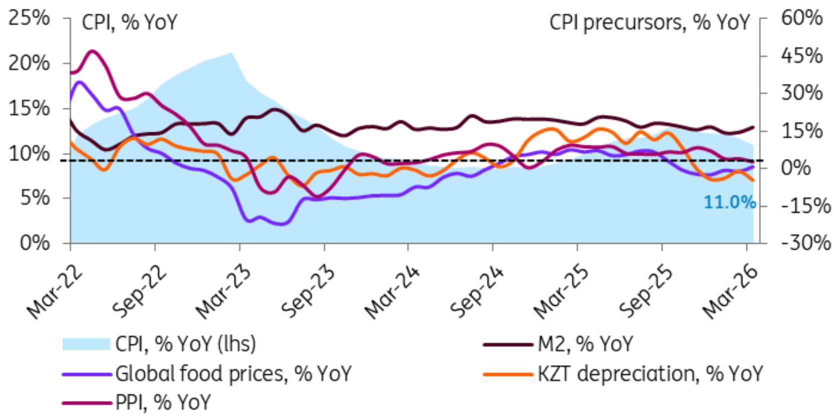
However, the granular assessment remains risk focused and arguably more explicit than in March:

- The slowdown in GDP is mainly attributed to the oil sector; 1Q26 oil production was reported to be down 20% YoY, while non-oil sectors were described as resilient.
- Households' inflation expectations worsened from an already elevated 13.7% to an even higher 14.6% despite a slowdown in reported CPI.
- The success in disinflation is partly attributed to the stronger exchange rate, as the tenge has gained 7% vs the US dollar since the outbreak of the Iran war, as Brent jumped nearly 50%. In our view, the near-term prospects for KZT remain favourable, but the long-term sustainability of the appreciation trend requires further confirmation.
- A moratorium on utility and fuel price increases was more explicitly identified as a temporary disinflationary factor, as a 'resumption of regulated price and tariff reforms' was mentioned.
- Pro-inflationary risks coming from the fiscal and quasi fiscal stimulus were also more clearly

articulated through 'intensification of the quasi-fiscal impulse in the second half of the year'.

- External risks are framed more directly as inflationary, with the escalation in the Middle East cited as a source of higher global prices for energy, food and fertilisers, increasing imported inflation risks for Kazakhstan – in line with our earlier assessment.

Inflation trend strongly depends on KZT strength



Source: CEIC, ING

Our rate view of a cut in 3Q26 is unchanged so far

In our view, despite a slightly more dovish tone, the substance of the NBK's commentary still points to a high bar for easing in the near-term. We interpret today's signal as reverting to the message we saw earlier in the year: easing is possible, but only if domestic tariff hikes are modest, fiscal and quasi-fiscal stimulus remains in check, and external shocks are avoided.

We therefore continue to see the first cut as a third-quarter story this year (with September more likely than July), when more clarity emerges on the tariff and fiscal stories, and when CPI growth has a chance of returning to the single-digit threshold.

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Czech consumers are worried about the outlook

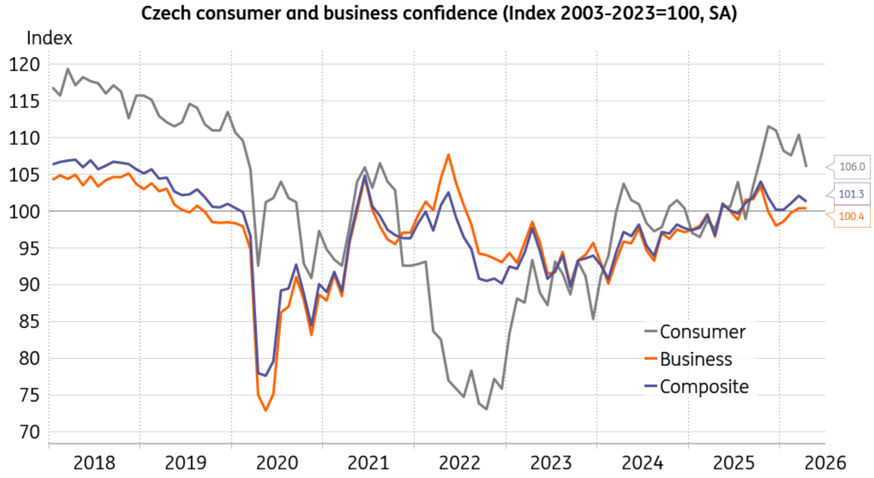
Consumer sentiment continued to weaken in April, while the business mood remained unchanged. Both were affected by elevated energy prices and heightened uncertainty. We're not witnessing a meltdown at this point, but this could change if the conflict in the Middle East drags on, with repercussions for economic performance

Old Town in Prague, Czech Republic

Consumers start to worry, while businesses hold the line

The Czech consumer confidence indicator fell by 4.4 points to 106.0 in April, while the business confidence indicator remained unchanged at 100.4 points. The composite confidence indicator shed 0.8 points from the previous month, landing at 101.3 in April. Both indices came in slightly stronger than ING expectations, but confirmed our view that the mood would weaken more sharply on the side of consumers, given the ongoing disruption in the Middle East, elevated energy prices, and a deteriorating labour market. By contrast, the unchanged sentiment reading among businesses is a surprise, driven by an uptick in both services and construction. That said, sentiment did soften in trade and industry, although the decline falls well short of anything resembling a meltdown. We expect panic to set in with some delay should the peace talks fail to result in a sustainable resolution.

Sentiment has only just started to come under pressure



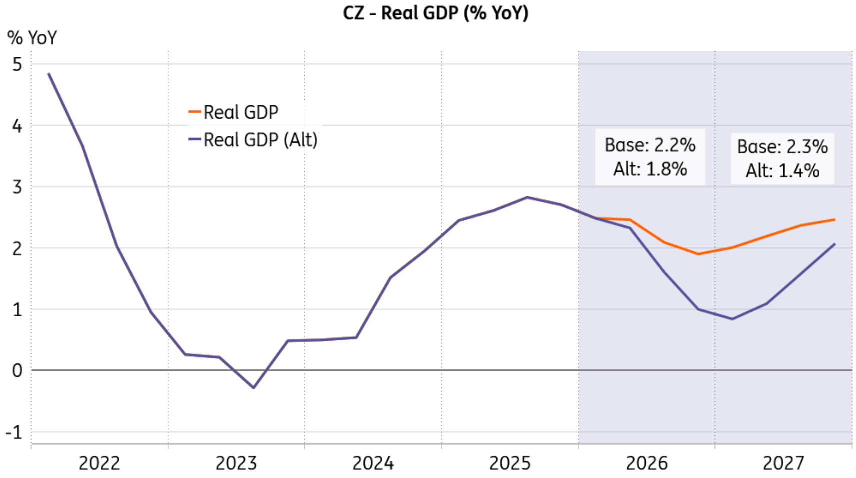
Source: CZSO, Macrobond

Looking into the consumer survey, the shifts in answers seem rather nuanced in April, considering the extent of the current supply and energy shock. The share of consumers expecting the economic situation in Czechia to worsen over the next year has increased significantly, and the share of households expecting their financial situation to improve over the next year has dropped. Nevertheless, the share of respondents who assess their current financial situation as worse and the number of respondents who do not plan to make major purchases has hardly changed. So, the deterioration is mostly about the expectations so far, while the real economic impact has yet to bite.

Economic situation may flip completely

We expect the Czech economy to gain 2.2% this year, provided the situation in the Middle East begins to calm down in May, leading to a tangible and lasting weakening in oil and natural gas prices, and a retreat of threats of physical fuel shortages further ahead. That said, we take the position that most institutions still tend to underestimate the negative consequences for economic growth right now, as this type of shock raises the probability of a synchronised slowdown in which nonlinearities and negative feedback loops are amplified to new levels. Considering the Czech circumstances, you could switch relatively swiftly from an economy of low inflation and high growth to an economy of high inflation and low growth, especially if the Middle Eastern conflict drags on.

Energy prices and uncertainty can play an ugly tune



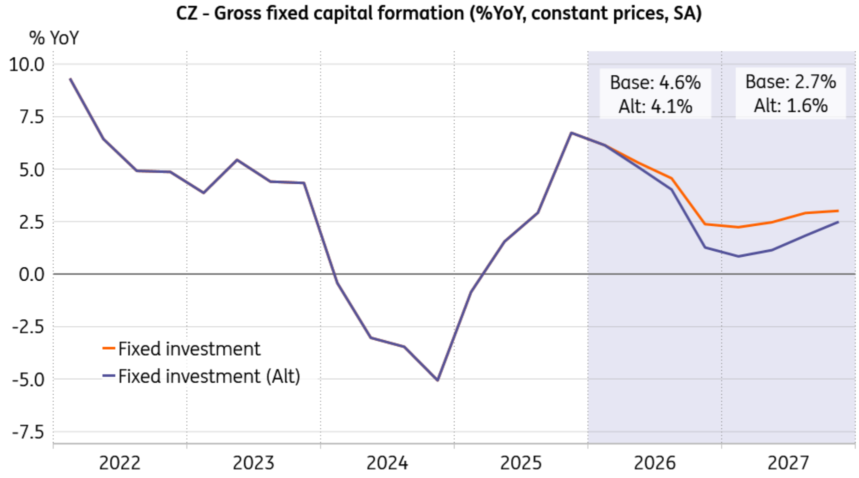
Source: CZSO, ING, Macrobond

Our base case scenario still delivers solid performance for the Czech economy for this year and next. However, should the disruption in the Middle East carry on, with Brent crude prices hovering above USD 100/bbl until December, issues for supply chains mounting, and uncertainty for consumers and businesses on the rise, we could see quite a different situation. The impact is likely to become more visible in the second half of this year, with potential repercussions for medium term economic performance. For reflections of this kind in such eventful times, we can only tip our hat to Stanley Kubrick's Dr. Strangelove.

Events come in packs

And voilà: can you change your mindset as rapidly as events evolve? The problem is that events tend to travel in packs rather than alone. Periods of elevated geopolitical tension rarely remain confined to a single issue and instead increase the risk that additional, unforeseen risks materialise elsewhere. As the Stoic say: Hope for the best, prepare for the worst. If you succeed in this subtle art, please, tell me how. Anyway, in that spirit of our *premeditatio malorum*, we would simply draw attention to our belief that the longer the conflict in the Middle East persists, the higher the probability that something else will go wrong.

Fixed investment is never a nice sacrifice



Source: CZSO, ING, Macrobond

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FX Daily: Gulf and inflation risks keep the mood cautious

Risk markets remain in a cautious mood. Clarity over the next phase in the Middle East conflict is in short supply, and it now looks as though inflation pressures may be broadening. Short-dated interest rates look set to stay firm and prevent investors from flooding back into risk-positive, dollar-negative strategies

The longer the Strait stays closed, the bigger the oil shock – and this is set to keep short-dated yields firm as markets price central banks responding to inflation

USD: Weekend caution prevails

A week ago, both Iran and US President Donald Trump were declaring that the Strait of Hormuz was open for business. Today, the US Navy's blockade means the Strait is firmly shut. The longer the Strait remains shut, the greater the oil shock and the more distant the idea of Brent crude trading back to levels near $80 or below. This view is very much dominant in the interest rate market, where short-dated yields remain very firm on the view that many central banks will have to react to this inflationary shock. Evidence that higher energy prices were feeding into selling prices emerged through the eurozone PMI data released yesterday and in the Japanese CPI data released overnight. Evidence of the stagflationary shock and the increased likelihood that central banks will likely have to apply the brakes is a negative for global growth and negative for pro-risk/dollar-negative strategies.

For today, the uncertainty over events in the Gulf probably means investors will not want to go home short dollar balances. As yet, there are no signs of stress in dollar funding markets, and we treat news of the UAE requesting a USD swap line from the US Treasury as more akin to a precautionary credit line than the need to address any systemic dollar shortages. We are more interested in whether another potential $20bn commitment on the US Treasury's Exchange Stabilisation Fund will raise queries over its limitations.

Given the absence of Federal Reserve speakers due to the blackout period and away from social media posts on the Gulf, today's US focus will be on the final release of data from the University of Michigan Consumer Sentiment Survey. The Fed is very interested in inflation expectations right now. The provisional release of the April data had 5-10Y inflation expectations at 3.4%. Any upward revision here could unnerve the Fed and lift short-dated US yields and the dollar. We also note that the 5Y5Y USD inflation swap has risen to 2.50% from 2.40% this week – the highest since early February. This could also set us up for a slightly hawkish FOMC meeting next week.

DXY looks biased to 99.15/20, above which it could fill a gap to 99.50.

Chris Turner

EUR: Feeling heavy

Short-dated yields are on the rise again as oil pushes higher and signs emerge that businesses are able to pass higher input costs on to their customers. While the 67% probability attached to a June rate hike looks too low and will probably be corrected over the coming weeks, that may not necessarily help the euro. The European Central Bank needs to get ahead of inflation expectations to help the euro, not merely match them. And two-year EUR/USD real interest rate differentials are not particularly supportive of EUR/USD right now. Ahead of next week's ECB meeting, please see our market ECB cheat sheet here.

For today, the focus will be on the April release of the German Ifo. Consensus expects a slight fall in the expectations component to 85.5 from 86.0. Any dip sub-85 would probably be a market mover here.

1.1630 looks to be the direction of travel for EUR/USD today.

Chris Turner

CHF: Higher oil prices are bullish for EUR/CHF

If we are moving into a period of higher oil prices, higher inflation and greater chances of central banks tightening, then EUR/CHF could be headed higher. We say this because Switzerland is one of the least exposed countries to fossil fuels. Here, hydro, nuclear, and solar make up around 95% of Switzerland's electricity production. That means the country is less exposed to the oil shock, and the Swiss National Bank will be one of the last to react with any tightening. The SNB said as much in its minutes of the March policy meeting.

Higher oil prices will therefore see ECB policy repriced more hawkishly than that of the SNB – which should be a EUR/CHF positive. On this subject, look out for any comments today from the SNB President Martin Schlegel, who will be speaking at the bank's Annual General Meeting. EUR/CHF can trade back up to 0.9250/60 if we are right in our thinking.

Chris Turner

HUF: Market ready to fade any weakness

Hungary remains the main topic in the CEE region even two weeks after the general election. Although there are no clear next steps that we can expect in the coming days, next week we will see the first central bank meeting since the elections, and in early May, a new government will be officially appointed. Tuesday's National Bank of Hungary meeting should be of great interest because, for the first time since the elections, we'll hear the official tone of the central bank. The market is already pricing in two rate cuts in the one-year horizon, but not in the coming months. However, the central bank will not rush, and we won't see much of a visible dovish shift due to significant FX strengthening. We are still in the middle of an energy shock with an unclear end; short-term pricing may see some pressure next week.

At the same time, yesterday's market move in FX and rates was the first test of significant positioning, but also a good example of market thinking. During the day, HUF rates traded up to 20bp higher – a significant underperformance – but by the end of the day, the long end in particular closed only 6-7bp higher, similar to CEE peers. This shows us that the market is generally bullish on Hungary even after the significant post-election rally, and any sell-off immediately faded, especially at the long end, which we think is the most attractive.

On the other hand, at the short end of the curve, the market is already expecting some rate cuts, and we don't think the NBH will rush too much. We therefore expect the curve to continue to flatten and the country premium to be compressed at the long end. EUR/HUF should continue to trend down, but at a slower pace given the heavy long forint positioning. Even so, we think that 350 by mid-year should not be too complicated a target in our forecast.

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April ECB cheat sheet: Ready, aim, hold

Markets have two convictions: that the ECB will hold in April, and it will hike in June. We don't expect either of them to be challenged at next week's meeting. The rates market may also have little reason to revise expectations for two hikes in 2026. It's a supporting argument for the euro, but not enough to edge out global equities and oil as the main drivers

Next Thursday, we expect the ECB to stick to a cautious tone while emphasising that both inflation and growth risks remain material

This is our market preview of Thursday's ECB meeting; you can find our macro team's preview here.

The European Central Bank will likely keep rates on hold at the 30 April meeting. That's been hinted at by several Governing Council members lately, who have stressed the lack of new information and the absence of urgency to act. In that sense, April will mainly serve as a reality check for rate expectations, with markets currently pricing around 50bp of tightening by year end.

In the table below, we outline four scenarios from the most dovish to the most hawkish (with the latter including a surprise hike), and what they would mean for rates and the euro. In our baseline, we expect the ECB to stick to a cautious tone while emphasising that both inflation and growth risks remain material. President Christine Lagarde may not give too much away in the press conference, but we expect she'll give enough implicit hints that a summer rate hike is a reasonable expectation.

Four scenarios for the ECB's 30 April meeting

	Inflation outlook	Growth outlook	Interest rates	EUR/USD (1.170)	10Y Bund (3.01%)
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach		
Dovish	De-escalation reduces upside for inflation and risks of second round effects	Downside risks for growth have increased and may linger after peace	**Hold.** Markets are overestimating tightening. Wide optionality on rates	1.165	2.90%
Neutral ING base-case	Too early for conclusions on inflation implications for policy. Risks still on upside	Balance of risks still to the downside, but no additional concerns relative to March	**Hold.** Cautious but hawkish tone, keeping the door to a June hike clearly open	1.170	3.05%
Hawkish	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Growth risks remain but have not worsened since March	**Hold.** Signalling explicitly one or more hike(s) now likely in the summer	1.175	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Despite growth concerns, the focus is firmly on preventing a new inflation crisis	**25bp hike.** Staying data dependent, but signalling risk of more hikes	1.180	3.15%

Source: ING

Rates expect the ECB to act when needed

With just 10% priced in, markets are not expecting the ECB to hike this meeting, but the stakes are higher for June. Over the past weeks, markets have roughly priced in between 20bp and 40bp of hikes by June. Markets are still speculating about the ECB's reaction function, and any hints about a June move will be taken on board.

So far, long-term inflation swaps have remained very stable, reflecting the confidence in the ECB's inflation targeting. Despite large swings in 2Y inflation swaps, the 5Y5Y inflation forward only bumped up from around 2.08% in February to 2.14%, a minor blip by historical standards. To put this into context, the 5Y5Y rose above 2.6% in 2023. To keep market inflation expectations well-anchored, a hike might be needed eventually if oil stays high or rises further.

The big surprise would be the ECB over-delivering compared to market expectations by hiking already at this meeting. The pass-through to longer-dated rates could, however, be limited in this tail risk scenario. If the move were to be packaged in a dovish way, markets would likely interpret the hikes as a front-loading of future tightening and not a radical change in reaction function. In this case, we would see a mild bear flattening of the curve.

If, on the other hand, the hike is complemented with a hawkish narrative, we do see the risk of a perceived policy error. The ECB could be seen as pressing the brakes too hard, which could damage market sentiment, weighing on longer-dated rates.

In a contrasting scenario where the ECB turns overly dovish, dismissing inflation risks as transitory (without actually using the word "transitory"), we might see a significant steepening of the curve. In this case, 2Y rates might edge lower on fewer rate hike expectations, but the increased long-term inflation expectations would push up rates from 5Y and beyond. Again, not our base case, but still a risk to consider.

FX: Surprise needed, or rates stay secondary for EUR/USD

The notion that the ECB is responding more hawkishly than the Federal Reserve to the ongoing energy shock underpinned EUR/USD resilience initially, and then helped fuel the de escalation rally. The two year EUR/USD swap rate differential is now around 20bp tighter than pre war levels, and its mostly positive correlation with oil prices suggests markets see EUR front end rates as more responsive to fresh escalation risks.

That said, while the front end rates beta to EUR/USD has recovered after briefly dropping close to zero in March, global equities are currently a much bigger driver for the pair. Rates, equities and oil are clearly intertwined, but recent sessions have shown that EUR/USD's ability to hold above 1.170 largely depends on risk sentiment staying resilient, even when oil prices face upward pressure.

In other words, it would take a real surprise from the ECB for the impact on EUR/USD to be both material and lasting. Absent that, central bank policy divergence is likely to take a back seat again to oil moves and, above all, global equity performance.

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Energy shock 2.0 – who breaks, who bends in Central and Eastern Europe

The oil shock that began in March isn't just another commodity move; it's a macro stress test at a difficult time for the CEE region, when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow

How the CEE region copes with surging energy prices is not merely a function of oil imports, but of the institutional shock absorbers available to manage the blow

The 2026 energy shock has hit the CEE3 (the Czech Republic, Poland and Hungary) and Turkey at precisely the wrong moment. Disinflation has only just been restored, growth remains fragile, fiscal room is thin, and central banks were just preparing to ease. This makes the new oil shock less a replay of 2022 than a genuine policy stress test – one that will separate economies with credible institutions and strategic buffers from those still relying on short-term fixes.

In a broader sense, this energy shock is a stress test that Europe may fail by default. Handled nationally, it can lock in a two-speed Europe – a sheltered core cushioned by fiscal space and EU risk sharing, and a periphery condemned to adjustment, weaker growth, and stalled convergence. That outcome would not be an accident, but a policy choice. The alternative is uncomfortable but clear: deeper integration or deeper divergence. Europe either uses this shock to mutualise risk and modernise its energy base, or accepts fragmentation as the price of incrementalism.

- **This is not mainly an energy-dependence story; it's a policy-capacity story:** what matters most is not who imports the most oil or gas, but who still has the institutional strength, fiscal space, monetary credibility, and external support to absorb the shock without derailing recovery.

- **The main macro risk is demand destruction, not a classic overheating cycle:** higher energy prices now function as a tax on already fragile economies, squeezing households, weakening margins, and forcing central banks into an uncomfortable trade-off between protecting growth and defending credibility.

- **Resilience across the region is highly uneven:** the Czech Republic looks best placed to bend without breaking; Poland still has growth but little fiscal room; Hungary is the most complicated CEE case given its structural exposure; and Turkey remains the most vulnerable because energy sensitivity, FX pass-through, and limited external backstops all collide at once.

- **The countries that emerge stronger will be those treating energy policy as industrial policy:** the 2022 subsidy playbook is largely exhausted. The real differentiator is now whether governments use EU instruments and public investment to build energy resilience – grids, renewables, efficiency, infrastructure – or fall back on blunt support measures that protect consumption today but erode competitiveness tomorrow.

The timing could hardly be worse

The de facto closure of the Strait of Hormuz to most non Iranian shipping since 28 February has stripped out a large share of global crude and LNG supply at a moment of already fragile demand. ICE Brent prices quickly climbed toward levels that European policymakers had previously treated only as tail risk scenarios, and, despite extensive mitigation efforts including the rerouting of shipments, the release of sanctioned oil onto the market, and coordinated drawdowns from strategic petroleum reserves, the global economy is still operating with a significant net loss of oil supply. According to our estimates, even after accounting for pipeline diversions, alternative shipping routes, and emergency stock releases, around 13 million barrels per day of oil supply remain effectively disrupted.

For Central and Eastern Europe and Turkey, which sit at the geographic and economic crossroads of this shock, the impact is real and immediate. The region spent 2024 and most of 2025 restoring disinflation, stabilising external balances, and rebuilding room for monetary easing. The question now is whether those gains can withstand a renewed cost push surge. Some countries are better positioned than others. The critical differences extend beyond energy exposure. Institutional strength, fiscal space, and access to EU financial instruments – such as Security Action for Europe (SAFE) and the Recovery and Resilience Facility (RRF) – will shape how effectively each economy can absorb and offset the blow.

A different shock in a different world

A useful way to understand the 2026 energy shock is through comparison with 2022. That earlier episode was, in essence, a supply shock landing on a booming economy. Post-pandemic demand was surging, households were running down accumulated savings, labour markets were tightening, and firms found it relatively easy to pass costs through. Central banks reacted late, allowing inflation expectations to drift, most starkly in Hungary and Turkey. The result was a multi year inflation overshoot, prolonged monetary tightening, and a serious real income squeeze.

The world of early 2026 looks structurally different. The supply disruption in the Middle East is, if anything, sharper in its initial price impulse. But the demand backdrop could hardly be of greater contrast. German industrial output – the anchor of CEE manufacturing exports – has been flat for nearly two years. Real disposable income growth in the region has slowed from its 2024 peak. Labour markets, while still tight in Poland and the Czech Republic, are no longer in a state of broad overheating. And consumer confidence was already subdued heading into April 2026.

This combination of a cost-push shock hitting weak demand creates a fundamentally more complex macro challenge than in 2022. Back then, rising energy prices were partly absorbed by strong nominal income growth, and central banks eventually had a clear mandate to tighten. Now, the same type of shock acts as a regressive tax in a fragile momentum, risks stalling the recovery, and leaves central banks torn between the old disinflation agenda and the new price threat. We are not in a price-wage spiral scenario; we are in a demand-destruction scenario, and policy has no clean instruments.

The non-linearity in price pass-through is also likely underappreciated. In low-inflation environments, energy price impulses can partly be absorbed within firm margins when demand is weak. But once headline inflation crosses certain thresholds or maintains sufficient stickiness, pass-through becomes disproportionately stronger and expectations de-anchor more easily. The economies most at risk are those already operating close to or above those pain thresholds when the shock arrived.

The structural burden of energy intensity and exposure

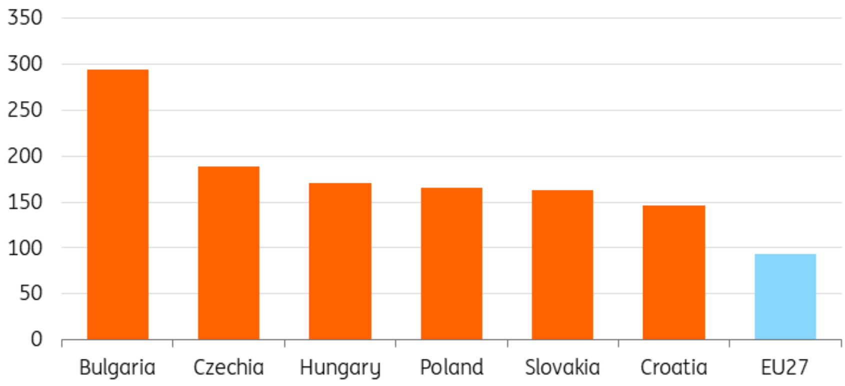
Understanding the regional impact of the shock starts with a basic structural fact: CEE and Turkey remain more energy intensive than Western Europe. Eurostat's 2024 data shows that, while the EU reduced the energy intensity of GDP by roughly one quarter between 2014 and 2024, most CEE economies sit above the EU average – some by a wide margin – meaning any rise in energy prices exerts a proportionally heavier drag on growth.

The composition of that exposure matters as much as the level. Poland and the Czech Republic carry heavier exposure to coal and carbon pricing under the EU Emissions Trading System – both have spent close to 1% of GDP annually on emission allowances, a structural cost that sits directly on their external accounts and industrial competitiveness. The forthcoming ETS2 expansion to buildings and road transport fuels in 2027 will add another layer to this burden, converging with the Hormuz shock if energy prices remain elevated.

Hungary is more exposed through the natural gas channel, with vulnerabilities tied to LNG availability. It's a textbook case: heavy net gas imports, gas intensive industrial production, and electricity prices tied to the marginal cost of gas fired generation.

Turkey's exposure is broader still. As a net hydrocarbon importer with an annual net energy bill standing at US$47 billion in 2025, it depends simultaneously on oil, gas, and coal, compounded by rapid FX pass through into domestic prices if the central bank allows a rapid pace of exchange rate depreciation.

Figure 1: Energy intensity of GDP (kilograms of oil equivalent per thousand euro)



Source: Eurostat

The industrial structure further complicates the impact. Manufacturing accounts for a larger share of GDP in CEE than in Western Europe, so the shock hits hardest in a segment that has already acted as a drag on growth for two years. Energy-intensive firms in metals, chemicals, and transport equipment are financially constrained and may begin cutting investment, setting up competitiveness losses that persist well beyond the commodity shock itself.

These structural features produce different macro sensitivities across the region. Our calibration, drawing mostly on central bank assessments and our own analysis, suggests the order-of-magnitude impact shown in Table 2. These figures represent first-year effects under broadly unchanged volumes and should be interpreted as indicative rather than model-precise; they likely underestimate the shock if gas prices rise alongside oil.

Figure 2: Estimated macro sensitivity to a 10% increase in oil prices

Economy	CPI impact (pp)	Real GDP impact (pp)	Current account (% of GDP)
Poland	0.30	−0.15	−0.15
Czech Republic	0.20	−0.10	−0.10
Hungary	0.35	−0.10	−0.15
Turkey	0.70	−0.30	−0.20

Source: ING

Note: cumulative 12-month impacts under constant-volume assumption; Turkish coefficient reflects additional FX pass-through channel

At current trajectories – with oil not far from US$100/bbl for an extended period – the mechanical hit to 2026 inflation could be around 1.0ppt higher than our pre-shock baselines for the CEE3, and materially more for Turkey. Current account balances could see meaningful deterioration as well, most acutely in Hungary and Turkey.

The starting grid: Who was where when the shock landed

Sensitivity coefficients are only part of the picture. Equally important is each economy's starting position, because the same external shock can produce very different domestic outcomes depending on fiscal space, monetary flexibility, and cyclical momentum.

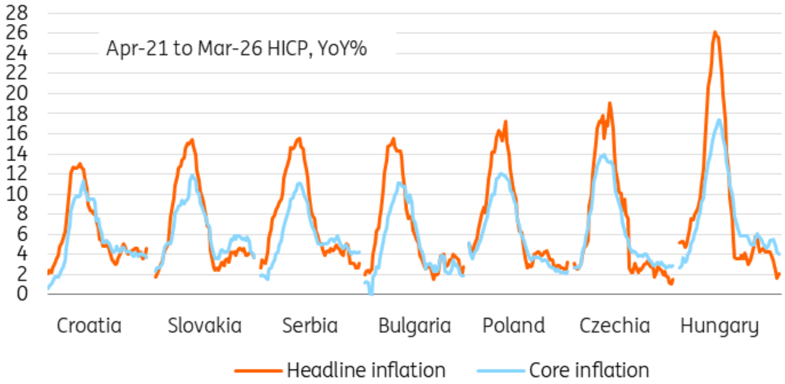
Poland enters the shock from the strongest cyclical position among the CEE3. GDP grew 3.6% in 2025, the services sector is performing well, and consumption has been resilient. But its fiscal position is arguably the weakest in the group; the budget deficit may near 7.0% of GDP in 2026, and public debt is on track to exceed 60%. The easing cycle that resumed in September 2025 is now directly challenged. Surging fuel prices have jeopardised the low-inflation trajectory, additional monetary easing is off the table, and broad energy price shielding – used heavily in the previous cycle – cannot be repeated without meaningfully worsening a deficit already attracting rating agency attention.

The Czech Republic is the regional benchmark for stability. With the policy rate at 3.50% and inflation largely back at target, the Czech National Bank (CNB) was flagging potential hikes in 2027 before the shock arrived. Czech exports are finding new customers in the US, the Middle East, and Asia. The labour market is tightening again, and the external balance is in surplus. For Czechia, the energy shock is a headwind, not a regime shift.

Hungary arguably presents the most complicated pre-shock backdrop. It enters 2026 after three years of real GDP stagnation: investment has fallen, business confidence remained subdued, and inflation was sticky until late 2025 despite the weak economy. Monetary policy stayed cautious to keep the forint attractive and anchor expectations. With inflation hitting a 10-year low in February 2026, Hungary was finally on the verge of reaping the benefits of disinflation and a rate cut was implemented shortly before the Middle East conflict erupted. The shock, therefore, hits at the most optimal inflation moment – but unresolved energy intensity, import reliance, and the risk of delayed economic acceleration complicate the picture considerably.

Turkey presents a unique profile. Its sensitivity to energy price movements is high, and its external position is more exposed than the CEE economies, which benefit from EU-based institutional support. The central bank's disinflation efforts have been notable, and gross reserves reached record levels in late 2025. But the current account deficit has begun widening again, the lira remains under a tight central bank grip amid foreign outflows, and the interplay between energy prices and currency dynamics warrants close monitoring. As a result, Turkey may experience a more pronounced response to the current shock – both in terms of macroeconomic impact and the policy challenges it presents.

Figure 3: Inflation comparison across the region in the previous energy shock



Source: Eurostat

What policy can and cannot do

Monetary policy across the region has been caught in mid-transition. Central banks that were edging toward easing now face an uncomfortable reversal. The National Bank of Poland (NBP) has halted cuts; the CNB is on hold with a tightening bias; the National Bank of Hungary (NBH) remains restrictive to protect the forint. The European Central Bank (ECB) held rates but raised its 2026 inflation forecast and cut its growth, both explicitly linked to the energy shock.

The Turkish central bank has moved quickly, providing FX supply to the system, tightening Turkish lira liquidity that could flow to FX, and raising the effective cost of funding by 300bp to 40% to shift away from its easing bias.

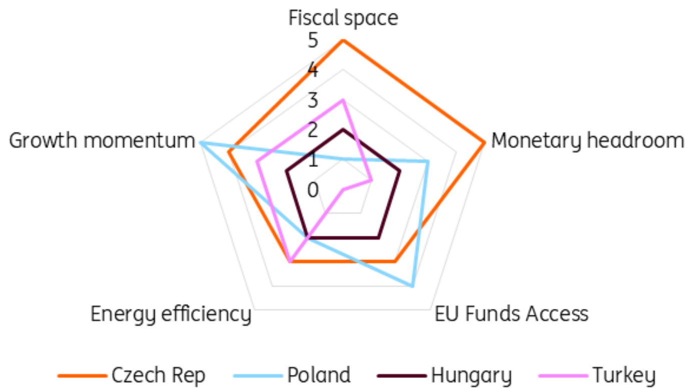
The textbook reaction to a supply shock is to look through the first round price impulse, act only if second round effects materialise, and avoid choking an already weak economy with unnecessary tightening. In 2022, estimates of the transitory nature of the shock proved too optimistic. In 2026, central banks are understandably on high alert to avoid repeating that mistake. The bias is towards caution rather than aggressive tightening, but easing is largely off the table for most of 2026, especially under stress scenarios.

On the fiscal side, the 2026 story diverges most sharply from 2022. In the earlier crisis, governments deployed broad household energy price shields at substantial fiscal cost. Those shields bought time but also built up deferred inflationary pressures that materialised when caps were removed. In 2026, the fiscal space for broad price shielding is objectively narrower.

Poland is running a deficit well above the EU reference value. Hungary must protect its debt-to-GDP trajectory. The lesson of 2022 was that blunt tools defer rather than solve the problem. The lesson of 2026 may be that the political temptation to repeat the bluntness remains high even though the tools are no longer viable. In Turkey, fiscal prudence in recent years has provided a buffer, with the government reinstating a sliding-scale tariff that absorbs roughly 75% of the oil price shock at a manageable fiscal cost, helping contain first-round inflationary effects. Even so, upward pressure from oil, gas, transport, and fertiliser prices will likely push inflation above 25% this year.

Figure 4: Policy space and structural buffers

Scores range from 1 (weak) to 5 (strong), where higher values indicate greater policy space or stronger structural buffers



Source: ING

This is where EU instruments become the defining differentiator. Poland has an RRF envelope of roughly €60 billion and is accessing the new SAFE facility for up to €43.7 billion. CEE countries with immediate access to EU funds can substitute some of the fiscal impulse they cannot generate domestically with European co-financing, targeting the energy transition and industrial modernisation rather than consumption subsidies. Hungary is still facing uncertainty regarding the timing of EU funds, so the issue is likely to be solved – but Turkey has no such platform. Its adjustment must be carried entirely domestically, which could mean a larger toll on real incomes and a more acute dilemma between protecting growth and defending the currency.

From price shock to policy paths – scenario implications

To anchor the discussion, Figure 5 translates the energy shock into a set of consistent macro policy scenarios. Starting from a common baseline, scenarios 2 and 3 illustrate progressively persistent energy price disruptions and the macro trade offs that they force. The message is not precision but asymmetry: higher and more volatile oil and gas prices produce non-linear inflation responses, quickly crowd out growth, and compress monetary space, especially in economies where buffers are already thin.

Figure 5: Energy price scenarios and macro-policy implications

		1Q26	2Q26	3Q26	4Q26	FY26	1Q27	2Q27	3Q27	4Q27	FY27
Brent (US$/bbl)	Baseline	78	96	93	88	89	82	79	75	72	77
	Scenario 2	78	110	102	100	98	93	89	84	80	87
	Scenario 3	78	135	150	120	121	105	100	94	90	97
TTF forecast (EUR/MWh)	Baseline	40	55	45	45	46	40	33	31	32	34
	Scenario 2	40	74	60	60	59	54	46	43	43	47
	Scenario 3	40	90	75	80	71	71	60	56	55	61
Poland	GDP (%YoY)	3.1	3.4	3.6	3.5	3.4	3.6	3.4	3.0	2.9	3.2
	Scenario 2	3.1	3.4	3.5	3.4	3.3	3.5	3.4	3.0	3.0	3.3
	Scenario 3	3.1	2.6	2.3	2.7	2.7	2.8	3.1	3.2	3.2	3.1
	CPI (%YoY)	2.4	3.6	3.9	4.2	3.5	3.8	2.9	2.5	2.4	2.9
	Scenario 2	2.4	4.0	4.3	4.7	3.9	4.2	3.0	2.6	2.4	3.1
	Scenario 3	2.4	4.7	6.5	6.4	5.0	6.1	4.1	1.9	2.1	3.5
	Policy rate (%)	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
	Scenario 2	3.75	3.75	3.75	4.25	4.25	4.25	4.00	3.75	3.75	3.75
	Scenario 3	3.75	4.50	5.50	5.50	5.50	5.50	5.25	4.75	4.25	4.25
Czech Republic	GDP (%YoY)	2.4	2.3	2.1	2.0	2.2	2.1	2.3	2.4	2.5	2.3
	Scenario 2	2.4	2.2	1.6	1.2	1.9	1.0	1.5	2.0	2.4	1.7
	Scenario 3	2.4	1.8	1.0	0.5	1.4	0.5	0.9	1.4	1.8	1.2
	CPI (%YoY)	1.6	2.5	2.3	2.8	2.3	3.3	2.5	2.5	2.4	2.7
	Scenario 2	1.6	2.7	2.8	3.7	2.7	4.4	3.1	2.4	1.9	3.0
	Scenario 3	1.6	3.5	3.8	4.7	3.4	4.9	3.6	2.9	2.4	3.5
	Policy rate (%)	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
	Scenario 2	3.50	3.50	3.50	3.75	3.75	3.75	3.75	3.50	3.50	3.50
	Scenario 3	3.50	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75	3.75
Hungary	GDP (%YoY)	1.6	1.3	1.6	2.1	1.6	1.4	2.7	2.7	3.2	2.5
	Scenario 2	1.6	1.1	1.3	1.7	1.4	1.0	2.3	2.3	2.9	2.1
	Scenario 3	1.6	0.8	0.5	0.6	0.9	-0.3	1.1	1.4	2.2	1.1
	CPI (%YoY)	1.8	3.5	4.1	4.3	3.4	4.2	4.0	3.5	3.1	3.7
	Scenario 2	1.8	4.0	4.7	4.8	4.2	4.7	4.5	3.9	3.4	4.1
	Scenario 3	1.8	4.6	6.3	5.8	5.2	5.0	4.6	4.0	3.6	4.3
	Policy rate (%)	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.00	5.00
	Scenario 2	6.25	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.75
	Scenario 3	6.25	6.25	6.75	6.75	6.75	6.75	6.75	6.50	5.75	5.75
Turkey	GDP (%YoY)	3.5	3.2	2.8	2.6	3.0	2.9	3.9	4.1	5.0	4.0
	Scenario 2	3.5	3.0	2.5	2.3	2.6	2.7	3.6	3.7	4.7	3.6
	Scenario 3	3.5	2.6	1.8	1.5	1.6	2.6	3.4	3.4	4.4	3.1
	CPI (%YoY)	30.9	30.8	28.2	27.5	29.6	23.9	21.2	19.6	18.9	21.2
	Scenario 2	30.9	32.0	29.1	28.7	30.2	25.0	22.3	20.6	19.8	21.9
	Scenario 3	30.9	34.2	33.8	30.6	32.4	26.3	23.5	21.7	21.0	23.1
	Policy rate (%)	37.00	37.00	35.00	33.00	33.00	30.00	27.00	25.00	23.00	23.00
	Scenario 2	37.00	38.50	37.00	35.00	35.00	31.50	28.50	26.50	24.50	24.50
	Scenario 3	37.00	41.00	43.00	38.00	38.00	33.00	30.00	28.00	26.00	26.00

Source: ING

The case for shorter, smarter supply chains

Every energy shock produces an industrial policy argument. The 2026 shock makes one that is unusually compelling for CEE. Nearshoring and friendshoring were already gaining traction after the pandemic. The Hormuz disruption has added an acute logistical shock on top of the strategic arguments: the era of just-in-time globalisation, built on cheap and dependable long-distance shipping, might be over.

CEE is structurally well-placed to benefit from this reallocation. The region combines strategic geography, improved infrastructure, and a large pool of technically skilled workers. Poland and Czechia have established themselves as high-value logistics and manufacturing hubs. Hungary has leveraged its dense and well connected motorway network to strengthen its role as a regional transport and manufacturing corridor. Crucially, this physical and human capital base is being reinforced by a broader "working smart" agenda of capital deepening and automation – this was outlined in our October 2025 edition and is consistent with the nearshoring dynamics identified in our Directional Economics analysis of CEE manufacturing relocation, making the region an increasingly credible destination for the technology intensive investment that Western multinationals are reshoring.

But the energy shock of 2026 adds a sharper argument: reshoring investment goes to locations that guarantee affordable and reliable energy, not just skilled labour. Persistently high and volatile prices erode competitiveness and offset locational advantage. Regions that respond by accelerating renewable permitting, grid build-out, and energy efficiency investment will capture the next reshoring wave. Those responding with ad hoc price controls and fiscal drift may find the shock has corroded the very advantages they sought to protect. This is also why the linkage between EU funds (RRF, SAFE, Cohesion) and energy system transition matters so much; used well, these instruments are not subsidies for consumption but supply-side investments that permanently reduce the economy's sensitivity to the next oil price spike.

Cracks and crossroads – the integration question

Crises tend to expose pre existing structural weaknesses. The 2026 energy shock has intensified a debate about Europe's economic architecture. One scenario is a genuinely two speed Europe: a core of countries with fiscal possibilities, institutional quality, and policy credibility that can absorb the shock – that could be Czechia, Poland and the broader northwest – and a periphery left financially strained, politically volatile, and structurally exposed. If EU funds primarily flow to countries most capable of absorbing them, divergence could widen rather than narrow – a risk that mirrors our previous findings that institutional quality and absorptive capacity, not income level alone, determine whether shocks accelerate or derail convergence.

The alternative is deeper integration. Joint gas purchasing under REPowerEU, SAFE's risk-sharing for defence financing, and the strategic logic of coordinated cross-border energy infrastructure all point towards a more unified European energy market. Every major external shock since the 2010-2012 debt crisis has produced additional European institutional architecture: the Banking Union, the ESM, NGEU, and SAFE. The 2026 energy shock may follow the same pattern.

For the CEE3, the result of this integration debate is crucial. The region's core strengths – proximity to Western markets, manufacturing capacity, and access to the EU single market – are most powerful when EU institutions are most deeply integrated. A two speed Europe that places part of CEE in a secondary tier would undermine the investment story that makes the region attractive. A more integrated Europe that builds shared energy infrastructure and collective transition mechanisms enhances CEE's locational advantage.

EU funds breakdown for CEE sovereigns

Country	Cohesion Funds (2021-27)			RRF Grants (2021-26)			RRF Loans (2021-26)			Total EU Funds		
	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)
Czech Republic	€21.1bn	6.6%	€6.5bn	€8.4bn	2.6%	€6.5bn	€0.8bn	0.3%	€0.2bn	€30.3bn	9.4%	€13.3bn
Hungary	€21.7bn	10.5%	€4.2bn	€6.5bn	3.2%	€0.1bn	€3.9bn	1.9%	€0.8bn	€32.2bn	15.6%	€5.1bn
Poland	€75.5bn	8.9%	€18.0bn	€25.3bn	3.0%	€9.5bn	€34.5bn	4.1%	€17.4bn	€135.3bn	15.9%	€44.9bn
Bulgaria	€10.9bn	10.4%	€2.1bn	€6.2bn	5.9%	€3.3bn	€0.0bn	0.0%	€0.0bn	€17.1bn	16.3%	€5.3bn
Croatia	€8.7bn	10.1%	€2.0bn	€5.8bn	6.7%	€4.9bn	€4.4bn	5.2%	€2.4bn	€18.9bn	22.0%	€9.3bn
Slovakia	€12.6bn	9.7%	€3.1bn	€6.4bn	4.9%	€4.0bn	€0.0bn	0.0%	€0.0bn	€19.0bn	14.6%	€7.1bn

Source: EC, Eurostat, Macrobond, ING

What we make of it

The current oil shock is less a test of geopolitics and more a referendum on policy quality. What separates the countries that emerge from this shock as stronger from those that merely survive it is not geography, not luck, and not the price of oil on any given Tuesday. It is the willingness to treat a crisis as a structural mandate to modernise and increase resilience rather than a temporary inconvenience to be managed into the next electoral cycle. Energy dependence of this magnitude is not a market failure; it is a policy choice, accumulated quietly over decades and now settled loudly in a single quarter. Countries that use EU instruments to invest in supply-side adjustment (renewable capacity, grid infrastructure, energy efficiency) will emerge structurally stronger. Those that reach for the familiar comfort of untargeted budget transfers, banking on markets looking away, are running a different kind of risk.

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Kevin Warsh’s Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely

At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that “several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed’s balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He’s not been specific about sizes, but said that they should be significantly reduced. And he’s identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he’s advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US$4.5tn in bond liquidations. That’s unlikely, but we do develop that narrative here. More probable is a targeted sale of the US$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed’s balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed’s balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He’s not been specific as to what that level should be. The unwritten level today is US$3tn. That’s sitting alongside Fed bond holdings of US$6.3tn. Simplistically, if the Fed’s balance sheet was shrunk by

US$2tn, bank reserves could be pressured down to around US$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt

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